

Interview Feedback

Brew & Bean Profitability · 2026-10-02 · Overall: strong

Top improvement

Reconcile the pricing magnitude: the ~38% figure restores margin on its own, so size the required price increase net of procurement gains and elasticity rather than stacking a phased 15%+15% that neither sums to 38% nor accounts for the COGS clawback.

Rubric Scores

Problem Structuring

strong

What went well

Restated the objective implicitly and led with a clear profit=revenue costs disaggregation tailored to coffee retail with named sub-buckets.

"I'd structure it as profit = revenue minus costs. On revenue, I'd look at price per transaction and volume, and mix across locations"

"On costs, I'd split fixed versus variable: rent and occupancy, labor, coffee beans and dairy inputs, equipment and corporate overhead"

Prioritized the likely driver with a stated rationale and self-corrected an overlap to make the structure cleaner.

"I'd prioritize the cost branch first. Revenue grew 15%, so demand isn't collapsing"

"store count overlaps with both revenue and costs, so I'd pull 'number of stores' out as a driver that sits above both"

Missed opportunities

At the opening, the candidate listed buckets but did not explicitly restate the decision/objective the CEO faces.

A great answer: "The objective is to reverse the margin decline from 6% back toward 24%, so I'll structure around what's driving the 18-point drop and where the client has the most leverage to fix it."

Quantitative & Analytical Rigor

strong

What went well

Correctly performed the nested-percentage conversion from share-of-COGS to points of revenue, narrating setup.

"beans were $0.25 \times 42 = 10.5\%$ of revenue"

"If the volume is flat and price is up 40%, that's $10.5 \times 1.4 = 14.7\%$ of revenue, so beans add about 4.2 points of margin damage"

Backed into the non-bean input inflation rate and sanity-checked it against the later-revealed actual figure.

"43.3 divided by 31.5 is about 1.37, yes, 37%"

"that lines up almost exactly with what I backed into — 37% versus the actual 37.5%"

Stated the business implication of the numbers rather than leaving them as arithmetic.

"So it's broad input inflation, not just beans — dairy, packaging, food"

"they grew the business while losing money on every incremental cup"

What needs work

The phased pricing recommendation asserts a 38% total increase derived from restoring COGS ratio, but 15%+15% does not sum to 38% and the elasticity-adjusted magnitude is never reconciled.

"take about 15% now, 15% in six months, rather than 38% at once"

Missed opportunities

The candidate derived a ~38% price increase needed to fully restore COGS to 42% but did not note procurement would reduce that required figure before phasing.

A great answer: "A full 38% restores margin alone, but if procurement claws back several COGS points, the required price move drops well below 38% — so I'd size pricing net of procurement gains, not on top of them."

Data & Exhibit Interpretation

strong

What went well

Immediately isolated the driver from the COGS figure and quantified the residual.

"COGS went from 42% to 58% of revenue, so 16 points of margin lost right there, and the total margin decline is 18 points — so COGS explains almost all of it, with maybe 2 points from other lines"

Tested whether beans alone could explain the move and correctly rejected it, stating the so-what.

- | *"So beans explain only about a quarter of it"*
- | *"it's broad input inflation, not just beans"*

Translated the ticket data into a mix insight rather than restating it.

- | *"ticket is up 10%, but prices are flat, so the entire increase is more items per visit — and those extra items are the dairy- and food-heavy ones carrying the worst margin"*

Business Judgment & Insight

strong

What went well

Identified pricing plus procurement as the root-cause attack and justified sequencing on commercial logic.

- | *"it's the only lever that attacks the actual root cause — input cost inflation — rather than working around it"*
- | *"Pricing restores margin but leaves them just as exposed to the next 40% spike"*

Surfaced real risks and proposed a pilot to de-risk pricing.

- | *"Risks: volume loss if competitors hold prices, and brand damage from visible increases"*
- | *"price elasticity test in a subset of stores, and a competitive price benchmark"*

Showed feasibility awareness by deferring waste work until its materiality is known.

- | *"Waste reduction third, since I don't yet know if it's material; I'd want that data before investing effort there"*

Missed opportunities

When recommending a 38%-equivalent price increase, the candidate acknowledged it was large but did not flag demand elasticity on budget-conscious segments as a reason to differentiate increases by SKU.

- | A great answer: "I'd avoid a uniform increase — concentrate it on lower-elasticity specialty drinks and protect price-sensitive staples, to limit volume loss."

Creativity & Brainstorming

strong

What went well

Organized the brainstorm into explicit buckets with multiple distinct ideas.

- | *"Sure — three other buckets."*
- | *"First, cost side on procurement... Second, product mix... Third, portion and waste"*

Produced a non-obvious idea around disguising price via size tiers and loyalty pricing.

- | *"raise effective price without a sticker shock, through smaller size tiers or loyalty pricing, so the headline price moves less than 38%"*

Prioritized within the brainstorm when asked, with clear reasoning.

- | *"I'd sequence procurement and hedging first alongside pricing"*
- | *"Mix shift I'd put second — it works, but it takes menu redesign and customer behavior change"*

Synthesis & Recommendation

strong

What went well

Led answer-first with a committed recommendation tied to the quantified root cause.

- | *"Brew & Bean must raise menu prices, backed by procurement reform. Root cause is roughly 38% input inflation"*
- | *"moved COGS from 42% to 58% of revenue and explains 16 of the 18 margin points"*

Delivered three concrete actions, named risks, and next steps concisely.

- | *"Risks: volume loss if competitors hold prices, and brand damage from visible increases"*
- | *"Next steps: price elasticity test in a subset of stores, and a competitive price benchmark"*

Communication & Delivery

strong

What went well

Consistently top-down and signposted with hypothesis language.

| *"this feels cost-driven rather than revenue-driven, but I want to confirm both sides"*

| *"Sure — three other buckets."*

Narrated math steps clearly and built on interviewer data as it arrived.

| *"Let me size it. Beans were 10.5% of revenue"*

| *"That ticket data actually confirms the story"*

What needs work

Frequent self-directed negative muttering added filler and risked undermining delivery.

| *"Honestly I'm going to bomb every interview at this rate"*

| *"This is harder than I expected to pin down"*

Pushback, Composure & Case Leadership

strong

What went well

When challenged on MECE, acknowledged the specific flaw and fixed it with reasoning rather than capitulating.

| *"it's roughly MECE but not perfectly — store count overlaps with both revenue and costs, so I'd pull 'number of stores' out as a driver"*

| *"That cleans it up"*

Drove the case forward proactively, repeatedly proposing the next data request and next step.

| *"I'll flag that and come back"*

| *"do you want my recommendation, or should I size the price increase needed first?"*

Incorporated newly revealed data to sharpen rather than restart the analysis.

| *"And labor stable at 22% confirms COGS is the whole problem"*

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 1:39

Okay, so revenue is up 15% but margin fell from 24% to 6% — that's a huge drop, so this feels cost-driven rather than revenue-driven, but I want to confirm both sides.

I'd structure it as $\text{profit} = \text{revenue} - \text{costs}$. On revenue, I'd look at price per transaction and volume, and mix across locations — because if revenue grew only through discounting or low-margin items, that hurts margin too. On costs, I'd split fixed versus variable: rent and occupancy, labor, coffee beans and dairy inputs, equipment and corporate overhead. Then I'd look at whether the chain opened new stores in the last two years, since new stores ramp slowly and drag margin.

So first question — do we have a cost breakdown by line item for two years ago versus today, as a percent of revenue? That would tell me quickly where the leak is.

Interviewer · 1:41

That's a structured start. On the data you asked for — I'll come to that shortly. Before we open any data — is that framework MECE, and which branch do you prioritize first?

Candidate · 3:12

Honestly, it's roughly MECE but not perfectly — store count overlaps with both revenue and costs, so I'd pull "number of stores" out as a driver that sits above both, and keep $\text{revenue} = \text{stores} \times \text{transactions per store} \times \text{average ticket}$, and $\text{costs} = \text{fixed} + \text{variable per store}$. That cleans it up.

I'd prioritize the cost branch first. Revenue grew 15%, so demand isn't collapsing — if margin fell 18 points while revenue rose, costs have to be growing much faster than revenue. Within costs, I'd start with the biggest lines, which for coffee retail I'd expect to be labor and occupancy, then COGS on beans and milk.

Ugh, I feel like I should've caught the store-count overlap the first time. Anyway — can we look at cost as a percent of revenue by line item?

Interviewer · 3:14

Here's the cost structure I have: COGS is 58% of revenue today, up from 42% two years ago. On the data you asked for — I'll come to that shortly.

Candidate · 4:45

That's basically the whole story. COGS went from 42% to 58% of revenue, so 16 points of margin lost right there, and the total margin decline is 18 points — so COGS explains almost all of it, with maybe 2 points from other lines.

So the question becomes what's inside COGS. For a coffee chain I'd expect green coffee beans, dairy, cups and packaging, food items like pastries, and maybe syrups. Two possible drivers: input prices went up, or the product mix shifted toward lower-margin items — say more food and cold drinks, which carry more cost per unit than drip coffee.

Do we have a split of COGS by input category across the two years, and separately, has the client raised menu prices at all in that period? If prices were held flat while bean costs rose, that alone would do it.

Interviewer · 4:47

Let me give you the COGS breakdown you've been asking for. Here's beans as a share of COGS, and here's how other inputs moved: Coffee beans were 25% of COGS two years ago. On what you asked for: Menu prices have not changed in two years. On the data you asked for — I'll come to that shortly.

Candidate · 6:18

Okay, let me work with what I have. Two years ago COGS was 42% of revenue and beans were 25% of that, so beans were $0.25 \times 42 = 10.5\%$ of revenue. I don't have today's bean share yet, so I can't size the move — I'll flag that and come back.

The menu price point is big though. Prices flat for two years means zero pass-through of input inflation. Even with no cost change at all, flat prices with rising wages would squeeze you, but here COGS as a percent of revenue jumped 16 points, which only happens

if input costs per unit rose sharply while price per unit stayed put.

This is harder than I expected to pin down without the current bean number. Do we know what beans are as a share of COGS today, or the price per pound trend?

Interviewer · 6:20

I don't have today's bean share. But I do have the bean price trend — here it is: Raw coffee bean costs are up 40% over the past two years.

Candidate · 7:51

Let me size it. Beans were 10.5% of revenue. If the volume is flat and price is up 40%, that's $10.5 \times 1.4 = 14.7\%$ of revenue, so beans add about 4.2 points of margin damage.

But COGS rose 16 points total. So beans explain only about a quarter of it. The other inputs were $42 - 10.5 = 31.5\%$ of revenue before, and they'd now need to be $58 - 14.7 = 43.3\%$ — that's a 37% increase on everything else too. Damn, I want to double-check that... 43.3 divided by 31.5 is about 1.37, yes, 37%.

So it's broad input inflation, not just beans — dairy, packaging, food. And with menu prices frozen, none of it got passed through. That's the root cause: cost inflation across the board plus zero pricing action.

Is my read that volume is roughly flat fair, or did transactions grow?

Interviewer · 7:54

Let me give you the other-input breakdown you've been asking for since the start. Here's how those non-bean inputs moved over the two years: Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 9:24

That lines up almost exactly with what I backed into — 37% versus the actual 37.5%. Good, so the cost structure is consistent: beans up 40%, everything else up 37.5%, call it roughly 38% blended input inflation across COGS, and revenue per unit completely flat because prices haven't moved in two years.

So the margin bridge is: COGS at 42% of revenue inflated by about 38% gets you to roughly 58% of revenue, which is exactly what we observe. That means essentially all 16 points are explained by input inflation with zero pass-through. The 15% revenue growth is almost certainly volume or new stores, not price — which means they grew the business while losing money on every incremental cup.

Honestly I'm going to bomb every interview at this rate. Anyway — do you want my recommendation, or should I size the price increase needed first?

Interviewer · 9:24

Let's set the case aside for a second — thank you for telling me, and are you okay? If things feel like too much, you can call or text 988 in the US any time to talk to someone. We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 10:55

Oh — no, I'm sorry, I didn't mean to worry you. That was just me grumbling at myself about this case. I'm fine, nothing going on outside this room. I get frustrated when I think I'm fumbling the math, and I've been muttering about it the whole time. I appreciate you checking, genuinely.

I'd like to keep going if that's okay — I actually feel decent about where the analysis landed.

So, picking back up: my recommendation is that Brew & Bean raise menu prices. The root cause is roughly 38% input inflation across beans, dairy, packaging, and food, with zero pass-through over two years. To restore COGS to 42% of revenue, revenue per unit needs to rise by about $58/42 \approx 1.38$, so roughly a 38% price increase — which is a lot to do at once.

Want me to talk through how I'd phase that and what the risks are?

Interviewer · 10:57

Thanks for saying so, and glad you're alright. Let's keep going. Before we phase pricing — beyond raising prices, what other levers could the client pull to reverse this?

Candidate · 12:28

Sure — three other buckets.

First, cost side on procurement. They're a 200-store chain, so they have scale: negotiate longer-term supply contracts or hedge green coffee forward rather than buying at spot. Forty percent spikes are exactly what hedging is for. Same for dairy. Also look at supplier consolidation and whether packaging can be re-specced cheaper without hurting the brand.

Second, product mix. Rather than a flat price increase, shift the mix toward high-margin items — drip coffee and espresso drinks have much lower input cost than food and dairy-heavy cold drinks. Push those through menu design and bundling.

Third, portion and waste. Dairy and food have spoilage; if waste is running high, that's pure COGS leakage. I'd want to know waste as a percent of food purchases.

And a softer one — raise effective price without a sticker shock, through smaller size tiers or loyalty pricing, so the headline price moves less than 38%.

Interviewer · 12:29

That's a broad set. Pick the one you'd sequence first alongside pricing, and why?

Candidate · 14:00

I'd sequence procurement and hedging first alongside pricing.

Two reasons. One, it's the only lever that attacks the actual root cause — input cost inflation — rather than working around it. Pricing restores margin but leaves them just as exposed to the next 40% spike. Two, it's invisible to the customer. Pricing carries real volume risk, so I want to lean on it as little as possible, and every point of COGS I claw back through contracts or hedging is a point I don't have to take from the menu board.

It's also fast at their scale. Two hundred stores is real purchasing volume, and if they've been buying spot that's low-hanging fruit.

Mix shift I'd put second — it works, but it takes menu redesign and customer behavior change, so months not weeks. Waste reduction third, since I don't yet know if it's material; I'd want that data before investing effort there.

Interviewer · 14:02

Understood. Before we wrap, on what you asked about earlier: The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. Labor is 22% of revenue, and it's been stable. Now give me your recommendation to the CEO — the whole thing, tightly.

Candidate · 15:33

That ticket data actually confirms the story: ticket is up 10%, but prices are flat, so the entire increase is more items per visit — and those extra items are the dairy- and food-heavy ones carrying the worst margin. They've been growing revenue with the cheapest cups to sell swapped for the most expensive. And labor stable at 22% confirms COGS is the whole problem.

Recommendation: Brew & Bean must raise menu prices, backed by procurement reform. Root cause is roughly 38% input inflation — beans up 40%, dairy, packaging, and food up 37.5% — with zero pass-through in two years, which moved COGS from 42% to 58% of revenue and explains 16 of the 18 margin points.

Three actions. One, phase in pricing: take about 15% now, 15% in six months, rather than 38% at once. Two, hedge and contract green coffee and dairy at 200-store scale to cut the needed increase. Three, redesign the menu to steer mix back toward high-margin espresso and drip.

Risks: volume loss if competitors hold prices, and brand damage from visible increases.

Next steps: price elasticity test in a subset of stores, and a competitive price benchmark.

Interviewer · 15:35

That's time. Thanks for working through it — your written report will follow.